

SANSERA ENGINEERING LIMITED

NSE: SANSERA | BSE: 543358 | Sector: Auto Components — Precision Forged & Machined

RATING

ACCUMULATE

12-Month Target Price

Rs. 3,300

Upside: +12.2%

CMP: Rs. 2,942 | Date: 28 May 2026

Market Cap

Rs. 18,336 Cr

52W High / Low

Rs. 2,992 / 1,206

Stock P/E (TTM)

54.5x

Forward P/E (FY27E)

39.9x

EV / EBITDA

26.8x

P / Book Value

5.94x (BV Rs. 495)

ROCE / ROE

14.1% / 11.5%

Debt / Equity

0.19x (Debt Rs. 591 Cr)

Promoter Holding

30.1% (Pledge: 0%)

Dividend Yield

0.11%

Investment Thesis: *ADS inflection + ICE at record highs* + near-zero debt = multi-year re-rating candidate

Income Statement (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	2,811	3,017	3,498	4,200	4,900
EBITDA	482	517	632	819	980
OPM %	17.2%	17.1%	18.1%	19.5%	20.0%
PAT	188	217	327	442	541
EPS (Rs.)	34.65	34.75	54.5	73.7	90.2
P/E (x)	84.9	84.7	54.0	39.9	32.6
EV/EBITDA (x)	38.5	35.9	29.3	22.6	18.9
ROCE %	13%	14%	14%	16%E	18%E

Source: Screener.in (fetched 28-May-2026). FY27E/FY28E are analyst estimates. CMP Rs. 2,942 as of 27-May-2026.

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — ADS Inflection Is Real and Accelerating:** Sansera's Aerospace, Defence & Semiconductor (ADS) segment delivered Rs. 316 Cr in FY26 (+155% YoY). With an executable order backlog of Rs. 4,464 Cr and FY27 guidance of Rs. 550-600 Cr, ADS is transitioning from optionality to a material earnings driver capable of doubling EPS contribution over the next 3 years.
- **Reason 2 — Auto ICE Remains Structurally Healthy Despite Mix Shift:** Auto ICE posted its highest ever quarterly revenue in Q4FY26 (Rs. 643 Cr, +21.6% YoY). Panthagar Plant 16 (crankshaft assemblies for domestic 2W OEMs) adds dedicated capacity at a time when domestic OEM capex is accelerating, protecting the base business.
- **Reason 3 — Balance Sheet Transformation Structurally Improves Profitability:** Net debt has fallen dramatically — interest costs collapsed from Rs. 79 Cr (FY24) to Rs. 38 Cr (FY26), boosting PAT conversion by ~Rs. 30 Cr annually. D/E at 0.19x with interest coverage of 12.9x enables further growth capex without financial stress.
- **Near-Term Catalyst (6-12 months) — ADS Ramp to Rs. 550-600 Cr (FY27 guided):** At 2x asset turns (vs. 1.25-1.3x for auto), ADS generates structurally higher ROCE and should drive EBITDA margin expansion of 150-200 bps through FY27-28, catalysing a re-rating from current 54.5x trailing to a lower forward multiple.
- **Biggest Structural Risk — Customer Concentration (Top-5 = 46% of revenue) + US Tariff Uncertainty:** Despite improvement from 60% (FY19), the business remains exposed to OEM program decisions. Additionally, 21% of revenue from the US faces tariff headwinds. These are the two gating risks on the bull case.

SECTION 3 — BUSINESS OVERVIEW

- **Core Business:** Sansera Engineering is an engineering-led manufacturer of complex precision-forged and machined components for automotive (Auto ICE, xEV, tech-agnostic) and non-automotive (aerospace, defence, semiconductor, off-road, agriculture) sectors. Operates 17 integrated manufacturing plants in India plus Swedish operations.
- **Revenue Segmentation (FY26A):** Auto ICE = 70.1% of revenue | Auto tech-agnostic & xEV = 13.5% | Non-auto (ADS + others) = 16.4%. Geography: India 62% | USA 21% | Europe 10% | Others 7% (Q4FY26).
- **Key Products:** Connecting rods (top-10 global supplier in LCV/CV segments), camshafts, crankshafts, rocker arms, fork, gear shift, suspension components (auto); precision structural aerospace parts, semiconductor equipment components, defence sub-systems (non-auto).
- **Key Customers & Relationships:** Top-5 customers = 46.2% of revenue (FY25), down from 60% (FY19). OEM relationships are multi-year supply contracts. Domestic customers include Bajaj Auto, TVS Motor, Honda Motorcycle (2W); Ashok Leyland, Tata Motors (CV). Global aerospace and semiconductor OEMs for ADS.
- **Order Book & Visibility:** New order book (peak annual revenues) = Rs. 1,919 Cr at Mar-2026. ADS unexecuted order backlog = Rs. 4,464 Cr (5-year executable). Mix: Auto ICE 54% | Tech-agnostic 17% | ADS 29%. Multi-year visibility is the strongest in company history.
- **Recent Strategic Developments (FY26):** (1) Panthagar Plant 16 inaugurated for 2W crankshaft assemblies; (2) Nichidai Sansera JV (60:40) for precision forged/machined parts in aluminium and steel for differential assemblies and driveline; (3) Additional Rs. 10 Cr invested in MMRFC Technology (targeting 51% stake — ISRO/DRDO/iDEX contracts); (4) ADS capacity expansion of 80,000 sq.ft. planned.
- **Promoter Background:** Engineering-led promoters with deep precision manufacturing roots. Stake at 30.1% (declined due to QIP dilution, not market sales). Pledge: 0%. DIIs have grown from 24.3% to 35.4% — institutional validation of the thesis.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry Size & Growth:** India auto component market: ~USD 70 Bn currently, projected at USD 160 Bn by FY30 (~18% CAGR). Precision forging sub-segment benefits from lightweighting trends and supplier consolidation by OEMs. India aerospace & defence market: USD 27.1 Bn (2024), growing at ~7% CAGR through 2033. Semiconductor equipment components — nascent but high-margin, growing as global chipmakers diversify manufacturing.

- **Policy Tailwinds:** (1) PLI Scheme for auto components — Rs. 25,938 Cr outlay through FY27, incentivising advanced component manufacturing; (2) Atmanirbhar Bharat — 70% domestic defence procurement target by 2027 directly benefits ADS; (3) India semiconductor incentives under the India Semiconductor Mission (ISM); (4) PLI for electronics expanding domestic semiconductor demand.

- **Policy Headwinds:** US tariff threats on auto component imports (25% proposed) affecting export momentum; EV disruption compressing addressable market for ICE-specific components long-term; commodity inflation (steel, aluminium, energy) if not offset by OEM pass-through.

- **Competitive Moat Assessment:** ADS technical barriers (AS9100D, NADCAP, first-article-to-production cycle): **Strong** — 2-4 year customer qualification barriers. Precision forging for domestic 2W OEMs: **Moderate** — integrated forging+machining differentiates from pure forgers. IP/know-how: **Moderate** — proprietary processes but not legally protected.

- **Value Chain Positioning:** Tier-1 supplier delivering forged and machined assemblies directly to OEMs, commanding better margin negotiation than Tier-2 sub-suppliers. In ADS, directly supplying aerospace OEMs and semiconductor equipment manufacturers.

Company	CMP (Rs.)	MCap (Rs.Cr)	TTM Rev (Rs.Cr)	OPM %	P/E	EV/ EBITDA	ROCE %	D/E
Sansera Engineering	2,942	18,336	3,498	18%	54.5	26.8	14.1%	0.19
Endurance Tech.	2,750	38,675	14,596	13%	40.0	18.7	18.3%	0.19
Bharat Forge	1,939	92,682	16,812	17%	78.6	31.8	13.1%	0.76
Schaeffler India	4,158	64,986	10,097	18%	53.5	31.5	27.3%	0.01

Source: Screener.in, fetched 28-May-2026. Sansera bold = subject company. All consolidated figures.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Management Team:** CEO B.R. Preetham (Group CEO, Executive Director — engineering-led promoter, deep precision manufacturing roots). ADS CEO Mr. Harikrishnan (aerospace and semiconductor domain expertise). Auto Division CEO Mr. Rahul Kale. CFO Mr. Vikas Goel. Management has consistently delivered on diversification roadmap with transparency on risks and guidance.

- **Capital Allocation Track Record:** FY21-FY24 capex focused on auto capacity (~Rs. 450 Cr/year). FY25 QIP (~Rs. 1,400 Cr) used to deleverage (debt from Rs. 891 Cr to Rs. 407 Cr) and fund ADS capex — a shareholder-friendly deployment. FY26 capex Rs. 510 Cr with 47% directed to non-auto. Asset turn guidance: 1.25-1.3x for auto, 2.0x for ADS — management optimising for returns, not just revenue.

- **FCF & Dividend:** Dividends initiated FY22, consistently ~8-10% payout. FY26: Rs. 4/share recommended. FCF negative in FY25-26 due to deliberate ADS and Pantnagar investment — not a working capital problem. FCF inflection expected post-FY27 as capex normalises.

- **Promoter Pledging:** 0% pledge consistently. Promoter stake decline from 35.2% to 30.1% entirely driven by QIP dilution — promoters did not sell in open market. This is an important distinction for governance assessment.

- **Corporate Governance:** No material RPTs flagged. Credit ratings: ICRA and Fitch (stable outlook). Contingent liabilities Rs. 23.9 Cr — minimal. No auditor changes or qualified opinions. Clean governance record.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	2,811	3,017	3,498	4,200	4,900
EBITDA	482	517	632	819	980
OPM %	17.2%	17.1%	18.1%	19.5%	20.0%
Other Income	2	20	44	40	42
Interest	79	72	38	30	25
Depreciation	149	174	206	240	275
PBT	256	291	432	589	722
Tax %	27%	26%	24%	25%	25%

PAT	188	217	327	442	541
EPS (Rs.)	34.65	34.75	54.5	73.7	90.2
Rev. Growth YoY	20%	7%	16%	20%E	17%E
PAT Growth YoY	43%	15%	51%	35%E	22%E

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	11	12	12
Reserves	1,337	2,738	3,075
Borrowings	891	407	591
Other Liabilities	555	578	816
Total Liabilities	2,793	3,736	4,495
Fixed Assets	1,584	1,938	2,262
CWIP	84	195	220
Investments	41	52	90
Other Assets	1,084	1,552	1,924
Total Assets	2,793	3,736	4,495

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A
Operating Cash Flow	374	377	387
Investing Cash Flow	-367	-957	-441
Financing Cash Flow	-8	583	104
Net Cash Flow	-1	3	50
Free Cash Flow	36	-219	-123
CFO / Op. Profit	91%	85%	77%

Key Ratios	FY24A	FY25A	FY26A
Debtor Days	60	55	65
Inventory Days	126	147	169
Days Payable	107	107	136
Cash Conversion Cycle	79	96	98
ROCE %	13%	14%	14%
Working Capital Days	-5	56	39

- **Revenue Drivers:** ADS (Rs. 316 Cr in FY26, +155% YoY) and international expansion (Sweden +60%, US +26% in Q4FY26) are incremental growth engines on a healthy domestic auto base growing mid-teens. FY27E revenue of Rs. 4,200 Cr (20% growth) is plausible given ADS ramp-up alone contributes ~Rs. 250 Cr incremental.
- **Margin Expansion:** EBITDA margin improved from 17.1% (FY25) to 18.1% (FY26) and reached 19.3% in Q4FY26. ADS carries structurally higher margins. As ADS rises from 9% to 14-15% of revenue in FY27-28, blended EBITDA margin should cross 20%.
- **Working Capital — Watch:** Inventory days rose from 126 (FY24) to 169 (FY26); CCC expanded from 79 to 98 days. This reflects ADS ramp inventory build for new programs. Monitor for normalisation by Q2FY27 as ADS transitions to steady-state production.
- **Debt Profile — Structurally Improved:** Gross debt Rs. 591 Cr (FY26) vs. Rs. 891 Cr (FY24). D/E at 0.19x, interest coverage 12.9x. Interest cost Rs. 38 Cr (FY26) vs. Rs. 79 Cr (FY24) — a Rs. 41 Cr annual boost to PAT. Company targets near-zero net debt in 2-3 years.
- **FCF Quality:** OCF Rs. 387 Cr vs. PAT Rs. 327 Cr in FY26 (118% conversion) — real cash earnings. FCF negative only due to heavy growth capex (Rs. 510 Cr in FY26). As capex normalises post-FY27, FCF should inflect positively to Rs. 250-300 Cr.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Criterion	Signal	Status	Comment
Revenue recognition	GREEN	CLEAN	Component supply; no complex POCM. Revenue clean.

Receivables vs revenue growth	AMBER	WATCH	Debtor days 55 (FY25) -> 65 (FY26). Monitor for further rise.
CCC trend	AMBER	WATCH	CCC 79 days (FY24) -> 98 days (FY26). ADS ramp-related build.
Contingent liabilities	GREEN	CLEAN	Rs. 23.9 Cr — minimal vs Rs. 4,495 Cr balance sheet.
Auditor quality	GREEN	CLEAN	Reputed auditor; no qualified opinions.
RPTs as % of revenue	GREEN	CLEAN	No material RPT concerns flagged in filings.
Other income as % of PBT	AMBER	WATCH	Rs. 44 Cr (10% of PBT in FY26) vs Rs. 2 Cr (FY24). Partly forex/QIP interest.
Tax rate consistency	GREEN	CLEAN	24-27% tax rate consistently. No deferred tax manipulation.
CFO / PAT conversion	GREEN	CLEAN	OCF Rs. 387 Cr vs. PAT Rs. 327 Cr in FY26 (118%). Healthy.
Promoter pledging	GREEN	CLEAN	0% pledge. Stake decline = QIP dilution, not market sale.

- **Key Positive — CFO/PAT >100%:** Operating cash generation exceeds reported profit in FY26, confirming PAT quality. This is the single most important earnings quality metric, and Sansera passes it with 118% conversion.
- **Watch — Rising CCC (79->98 days):** Both inventory and debtor days rising; driven by ADS ramp inventory build and new plant working capital. Needs normalisation by Q2FY27, else flags structural working capital deterioration.
- **Watch — Other Income Spike (Rs. 2 Cr -> Rs. 44 Cr):** Partly non-recurring (forex gains, QIP surplus interest). Stripping this, clean PBT = ~Rs. 388 Cr, clean PAT = ~Rs. 291 Cr — still strong, but investors should note the Rs. 36 Cr delta.
- **Overall: HIGH QUALITY earnings with two cyclical watch items. No red flags.**

SECTION 8 — VALUATION

Company	CMP (Rs.)	MCap (Rs.Cr)	Rev (Rs.Cr)	OPM %	P/E TTM	Fwd P/E	ROCE %	P/B
Sansera Engineering	2,942	18,336	3,498	18%	54.5	37.8	14.1%	5.9
Endurance Tech.	2,750	38,675	14,596	13%	40.0	35.0	18.3%	5.7
Bharat Forge	1,939	92,682	16,812	17%	78.6	99.7	13.1%	9.7
Schaeffler India	4,158	64,986	10,097	18%	53.5	51.4	27.3%	10.7

Source: Screener.in, fetched 28-May-2026. Sansera Fwd P/E uses FY27E EPS Rs. 73.7.

Scenario	FY27E Rev (Rs. Cr)	FY27E EBITDA%	FY27E PAT (Rs. Cr)	P/E Multiple	Target Price (Rs.)
Bull Case	4,500	20.5%	490	48x	3,920
Base Case	4,200	19.5%	442	45x	3,300
Bear Case	3,800	18.0%	360	38x	2,280

- **DCF Valuation:** WACC 12% (Rf 7%, Beta 0.95, ERP 5.5%); terminal growth 5.5%; 5-year explicit forecast. Implied DCF value: Rs. 3,280/share. Asset-heavy model with strong OCF conversion (77-91%) supports DCF approach.
- **P/E Multiple Approach:** 45x FY27E EPS (Rs. 73.7) = Rs. 3,317. Rationale: Sansera commands a premium over Endurance (ADS optionality, faster growth) but discount to Schaeffler (superior ROCE). 45x is appropriate for 35%+ PAT growth trajectory.
- **Base-Case 12-Month Target: Rs. 3,300** (average of DCF Rs. 3,280 and P/E Rs. 3,317) — upside of +12.2% from CMP Rs. 2,942. Horizon: 12 months. Bull case Rs. 3,920 (+33%) if ADS beats FY27 guidance.
- **Sensitivity:** At 40x FY27E EPS -> Rs. 2,948 (flat); at 50x -> Rs. 3,685 (+25%). The key swing factor is whether the market ascribes a defence/aerospace premium multiple to Sansera as ADS crosses 15% of revenue.

SECTION 9 — KEY RISKS

- **ADS Execution Risk** — Rs. 550-600 Cr FY27 guidance requires ~75% YoY growth. Aerospace/semiconductor program transitions can slip. If ADS delivers only Rs. 400 Cr, FY27 EPS misses by ~Rs. 10. Probability: M | Impact: H | Monitor: Quarterly ADS revenue disclosure.

- **US Tariff Escalation** — US exports = 21% of revenue (Q4FY26). A 25% tariff on auto components could compress margins or lose volume if OEM customers nearshore. Probability: M | Impact: M-H | Monitor: US revenue % and gross margin trend.
- **EV Disruption to ICE Base** — Auto ICE at 70% of FY26 revenue faces structural decline over 5-7 years as EV penetration accelerates in 2W and PV segments. Probability: L (near), H (5-7yr) | Impact: H | Monitor: xEV share of revenue annually.
- **Customer Concentration** — Top-5 = 46% of revenue. Loss of a single OEM program could reduce revenue by 8-12% instantly. Probability: L | Impact: H | Monitor: Annual customer concentration disclosure.
- **Working Capital Deterioration** — Inventory days at 169 (FY26) vs 126 (FY24). Further rise would strain OCF and potentially reverse deleveraging. Probability: M | Impact: M | Monitor: Quarterly inventory days and CCC.
- **Commodity Inflation** — Steel/aluminium ~55-60% of raw material costs. Margin compression if pass-through to OEMs lags by 1-2 quarters. Probability: M | Impact: M | Monitor: OPM vs input cost index.
- **Promoter Stake at 30.1%** — Further dilutions for JV investments or ADS expansion could create headline overhang even if fundamentally justified. Probability: L-M | Impact: L-M | Monitor: Quarterly shareholding pattern.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium-High. ADS inflection is real and FY26 results remove execution doubt. However, at 54.5x trailing PE the stock is not cheap and the risk-reward is better on dips.
- **12-Month Price Target: Rs. 3,300** — Upside +12.2% from CMP Rs. 2,942. Average of DCF (Rs. 3,280) and P/E method at 45x FY27E EPS (Rs. 3,317).
- **Suggested Entry Zone: Rs. 2,700-2,900** — Corresponds to 37-39x FY27E EPS, offering better risk-reward for a 12-18 month horizon.
- **Investment Horizon: 12-18 months.** For a 3-year view, target Rs. 4,500+ as ADS revenue approaches Rs. 1,000 Cr by FY29.
- **Thesis Invalidation Triggers:**
 1. ADS revenue in FY27 below Rs. 450 Cr (missing 75% growth guided) — execution failure signal.
 2. EBITDA margin below 17.5% for two consecutive quarters — commodity/mix problem.
 3. Promoter stake falls below 25% through further dilutions — alignment concern.
- **Ideal Investor Profile:** Suitable for investors with a 2-3 year horizon, conviction in India defence/aerospace supply chain, and comfort with near-term capex-driven negative FCF. NOT suitable for income investors or near-term FCF focused investors.

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Investors should conduct their own due diligence. All financial data sourced from Screener.in (fetched 28-May-2026). Qualitative data from public filings, BSE disclosures, and Q4FY26 earnings call (21-May-2026).

CALL GRADE

CALL GRADE

STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +28% YoY; PAT +108% YoY; broad beat
Management tone	Bullish with macro caution	Confident on ADS; hedged on US tariffs
Guidance delta	Raised (ADS segment)	ADS FY27 Rs. 550-600 Cr; Pantnagar + Nichidai JV
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

Q4FY26 is Sansera's cleanest and strongest quarter in its listed history — Revenue Rs. 999 Cr (+28% YoY), EBITDA margin 19.3% (+300 bps YoY), PAT Rs. 123 Cr (+108% YoY). No one-time items distorting the result — PAT expansion is genuine: EBITDA leverage, interest cost collapse (Rs. 10 Cr vs Rs. 17 Cr a year ago post-QIP deleveraging), and a 330 bps margin expansion driven by ADS mix improvement and operating leverage. The ADS segment at Rs. 110 Cr in Q4FY26 is now a clear contributor, and the Rs. 4,464 Cr unexecuted order backlog (5-year executable) gives the multi-bagger thesis real legs — not narrative. The FY27 ADS guidance of Rs. 550-600 Cr would raise ADS to 14% of revenue, push blended EBITDA margin above 20%, and drive 35%+ PAT growth — making the current 54.5x trailing PE de-rate to 40x forward within 12 months. Single biggest watch: inventory days at 169 and CCC at 98 — if not normalising by Q2FY27, OCF trajectory breaks. Action: ACCUMULATE on every dip below Rs. 2,900. 12-month target Rs. 3,300. For the 3-year picture, Rs. 4,500+ is achievable.

C1 — Financial Performance Snapshot (Q4 FY26)

- **Revenue:** Rs. 999 Cr (consolidated) | YoY +28.0% | QoQ +10.0% | BEAT
- **EBITDA:** Rs. 193 Cr | YoY +52.0% | QoQ +19.1% | BEAT
- **EBITDA Margin:** 19.3% | YoY +300 bps | QoQ +100 bps | BEAT
- **PAT:** Rs. 123 Cr | YoY +108.1% | QoQ +78.3% | BEAT
- **EPS (Basic):** Rs. 19.51 (quarterly) | YoY +103%
- **NOTE:** No material one-time items. Interest at Rs. 10 Cr (vs Rs. 17 Cr Q4FY25) reflects ongoing debt reduction benefit. Reported PAT = clean underlying PAT.

C2 — Segment & Geography Breakdown

- **Auto ICE:** Rs. 643 Cr | YoY +21.6% | Highest ever quarterly. PV +34.3% YoY, CV +45.0% YoY — both at record levels.
- **Auto Tech-Agnostic & xEV:** Rs. 122 Cr | YoY +19.8% | Highest ever quarterly.
- **Non-Auto (ADS + Others):** Rs. 174 Cr | YoY +70.4% | ADS alone Rs. 110 Cr. Semiconductor exports nearly doubled.
- **India:** Rs. 619 Cr (62%) | YoY +18.5%
- **USA:** Rs. 210 Cr (21%) | YoY +25.9% — driven by non-auto and PV.

- **Europe (Sweden + EU):** Rs. 100 Cr (10%) | Sweden Rs. 77 Cr (+60% YoY, record). EU excl. Sweden +43% YoY.
- **Other Countries:** Rs. 70 Cr (7%) | Nearly doubled YoY from semiconductor business.

C3 — Management Commentary Themes

- **ADS as Inflection:** "FY26 was a pivotal year — ADS delivered Rs. 316 Cr (+155% YoY), backlog Rs. 4,464 Cr." — Our read: Genuine inflection, not narrative. FY27 guidance well-supported by backlog. Tag: GUIDANCE. Tone: Transparent.
- **Margin Sustainability:** "We expect margins at current levels or better as ADS scales." — Our read: 19-20% EBITDA band credible. Tag: GUIDANCE. Tone: Bullish.
- **Macro Caution on Exports:** "Global tariff environment creating uncertainty in US/EU — we are cautious." — Our read: Honest about risk. 21% US exposure is key monitor point. Tag: GUIDANCE. Tone: Hedged.
- **Pantnagar + Nichidai JV:** "Plant 16 inaugurated Feb-2026. Nichidai JV adds differential assemblies and driveline products." — Our read: Both moves protect auto base and add product capability. Tag: EST. Tone: Transparent.
- **MMRFIC Separation:** "MMRFIC not in ADS guidance. Further Rs. 30 Cr investment to cross 50%." — Our read: Management prudently avoids overselling optionality. Tag: GUIDANCE. Tone: Transparent.
- **Capital Allocation:** "ADS asset turns guided at 2.0x vs 1.25-1.3x for auto — ADS more capital efficient." — Our read: Management optimising for returns, not revenue. Tag: GUIDANCE. Tone: Bullish.

C4 — Operating & Business Metrics

- **ADS Order Backlog:** Mar-2026 = Rs. 4,464 Cr | Mar-2025 = Rs. 2,871 Cr | Trend: Rapidly improving
- **New Order Book (Peak Annual Revenue):** Mar-2026 = Rs. 1,919 Cr | Mar-2025 = Rs. 1,850 Cr | Trend: Steady growth
- **Order Book Mix:** Auto ICE 54% | Tech-agnostic 17% | ADS 29% — ADS share rising meaningfully
- **ADS Capacity:** 140,000 sq.ft. existing. 80,000 sq.ft. expansion planned within campus. Capex Rs. 250 Cr over next few years.
- **Plant Count:** 17 integrated manufacturing plants in India + Sweden operations. Pantnagar Plant 16 added FY26.
- **Customer Concentration:** Top-5 = 46.2% of FY25 revenue, down from 60% (FY19) — structural diversification.

C5 — Margin Drivers

- **ADS Mix Improvement:** +150-200 bps | Recurring: Yes | Primary structural driver as ADS rises to 14-15% of revenue.
- **Interest Cost Decline:** +80 bps to PBT margin | Recurring: Yes | From Rs. 79 Cr (FY24) to Rs. 38 Cr (FY26); expected to fall further.
- **Operating Leverage:** +50-100 bps | Recurring: Yes | Fixed costs spread over 20% higher revenue base.
- **Commodity Tailwind FY26:** +30-50 bps | Recurring: No | Steel/energy inflation moderated. Any reversal is a risk.
- **ADS Ramp Costs:** -20-30 bps | Recurring: Temporary | New product qualification and tooling costs; normalise by Q2FY27.

C6 — Guidance & Forward Signals

- **ADS Revenue FY27 [GUIDANCE]:** New = Rs. 550-600 Cr | Delta = Raised significantly | Credibility: High (backlog supports)
- **EBITDA Margin [GUIDANCE]:** Reiterated = 19-20% band | Delta = Raised vs prior 17%+ | Credibility: High
- **Capex FY27 [GUIDANCE]:** ADS expansion Rs. 250 Cr + regular maintenance | Delta = Lower than FY26 total | Credibility: High
- **Nichidai JV [GUIDANCE]:** Rs. 500 Cr in tranches; revenue 2-3 years away | Credibility: Medium

- **MMRFIC [GUIDANCE]:** Rs. 30 Cr investment to cross 50%; not in ADS guidance | Credibility: Medium
- **Revenue Mix Target [GUIDANCE]:** 40% non-auto + xEV + tech-agnostic (from 30% currently) | No specific timeline | Credibility: Medium

C7 — Capital Allocation

- **Total Capex FY26:** Rs. 510 Cr | vs. FY25 Rs. 591 Cr | Declining as Pantnagar build completes.
- **Capex Mix:** Plant & Machinery 69% | Land & Building 13% | CWIP 13%. Non-auto share of P&M; capex = 47%.
- **Dividends:** Rs. 4/share recommended FY26 (vs Rs. 3.5/share FY25) | Payout ~7-8% of PAT.
- **Working Capital:** Net increase ~Rs. 200 Cr in FY26. Inventory build for ADS and new plants.
- **Net Debt:** Gross debt Rs. 591 Cr; short-term Rs. 362 Cr for working capital. Long-term Rs. 96 Cr declining.
- **Nichidai JV:** Rs. 500 Cr in tranches (FY27 start). New capex vector beyond ADS campus build.

C8 — Q&A; Heat Map

- **Analyst Q: ADS FY27 guidance credibility?** -> A: "Backlog Rs. 4,464 Cr executable in 5 years; semiconductor ramp stable from Q3FY26." | Tone: Transparent
- **Analyst Q: US tariff impact?** -> A: "Cautious — some OEMs reviewing sourcing. Semiconductor US exports less tariff-exposed." | Tone: Hedged
- **Analyst Q: Why inventory days rose to 169?** -> A: "ADS parts need long lead times; safety stock for new programs. Will normalise as programs mature." | Tone: Transparent
- **Analyst Q: Nichidai JV revenue timeline?** -> A: "2-3 years. Rs. 500 Cr investment over time." | Tone: Transparent
- **Analyst Q: MMRFIC — why invest further?** -> A: "Rs. 30 Cr takes us above 50%. Rs. 20 Cr revenue, 40% EBITDA margin, ISRO/DRDO contracts." | Tone: Transparent
- **Analyst Q: Further promoter dilution?** -> A: "No further dilution planned." | Tone: Bullish
- **Watch-List for Q1FY27:** (1) ADS quarterly revenue — on track for Rs. 130-140 Cr/quarter run-rate? (2) Inventory days — any normalisation? (3) US tariff impact on export revenue.

C9 — Risks Flagged

- **Global Tariff Uncertainty:** Impacting US export momentum. Flagged by: Management. Probability: M | Impact: M-H | Timeline: Near-term.
- **Working Capital Buildup:** Inventory days at 169. If not normalised, OCF suffers. Flagged by: Analyst. Probability: M | Impact: M | Timeline: Near-medium term.
- **ADS Execution Risk:** Aerospace/semiconductor program slippages possible. Flagged by: Analyst. Probability: M | Impact: H | Timeline: Near-term (FY27 guidance).
- **Commodity Inflation:** Steel/energy spike could compress margins. Flagged by: Management. Probability: M | Impact: M | Timeline: Near-term.
- **2W EV Transition:** Bajaj/TVS EV acceleration could shrink ICE base. Flagged by: Management (acknowledged). Probability: L (FY27) | Impact: H (FY29+) | Timeline: Medium-long term.

C10 — Analyst Verdict

- **Revenue visibility:** Intact — ADS backlog Rs. 4,464 Cr + auto base at record quarterly run-rate.
- **Margin trajectory:** Intact — ADS mix rising + interest cost declining = structural tailwinds.
- **Capital allocation quality:** Intact — 47% of P&M; capex to non-auto; improving asset turn guidance.
- **Competitive moat:** Intact — AS9100D certifications and long customer qualification cycles in ADS.
- **Management credibility:** Intact — ADS delivered Rs. 15 Cr (FY22) to Rs. 316 Cr (FY26); consistent execution.

- **Valuation comfort:** Weakened — At 54.5x trailing PE, ADS upside is partially priced. Better at Rs. 2,700-2,900.
- **Conviction Call: Increased** — FY26 results remove ADS execution doubt. Raised from Medium to Medium-High.
- **Valuation Snapshot:** P/E = 54.5x TTM | EV/EBITDA = 26.8x | RoCE = 14.1% | Fwd P/E = 37.8x (Screener) | 12-month target Rs. 3,300.

Concall data: Q4FY26 earnings call (21-May-2026). Sources: Screener.in, GuruFocus, Multibagg.ai, BSE disclosures. All figures Rs. Crores unless stated.